Starting From Scratch With Mom's Finances

The first three things to do together, and what can wait.

Mom pays her own bills and keeps her own files, and nothing about her finances is urgent. That's what makes it hard to know where to begin.

Start here. Three things, in this order, and all of them with her.

1 Talk with Mom before you touch a single paper

Tell her why you're asking, and ask what she's comfortable sharing and who else she'd like in the conversation. The Consumer Financial Protection Bureau says that even if it feels awkward, an honest conversation about finances is important, and that a person can give a trusted relative an overview without sharing every detail. Write down what she agreed to. [1]

WHY THIS COMES FIRST These are her finances and her decisions. Everything after this starts from her yes.

2 Start one list of what she has, receives and owes

Sit down together and write the names only: her sources of income, bank accounts, investments, retirement accounts, property and insurance, then her debts and regular expenses. The bureau's guide for people who help manage a relative's money makes the same point: to make careful decisions, you need to know what the person owns and owes. Where neither of you is sure, write “don't know yet.” Don't add anything up. [2]

WHY THIS COMES FIRST Most families know more than they think, just not in one place. One list shows you what you have before you go looking for more.

3 Choose one place for the paperwork

Pick a drawer, a file box or a binder, and put in the supporting papers that are easy to reach: a recent statement, a policy, a recent tax return. For the rest, write down where each one is kept now. The bureau suggests a safe, easily accessible location, and letting a trusted person know where to find it. [1]

WHY THIS COMES FIRST A list only helps if someone can find the paper behind it.

What can wait

- Finding every missing paper. A line that says “the deed, not found yet” is enough for now.
- Adding anything up. Totals aren't part of the first three moves.
- Working out which of it matters for Medicaid planning. That depends on the state and the situation, and it's a question for your Medicaid planner.
- Anything about whose name is on an account, a policy or a deed. Write the names down as they're printed and change nothing.

Go at Mom's pace

Nothing on this page has a date on it. If she'd rather begin with one category, or share an overview before the details, that's a fine way to start. One afternoon together at the kitchen table is plenty for a first sitting.

What this guide doesn't do

It doesn't total or value anything, say what any of it means for Medicaid, or suggest a change to any account, policy or property. It isn't legal, financial or tax advice. It puts the first three moves in order.

Ready for the next step?

You've talked with Mom, started one list and picked a place for the paperwork. The planning interview takes it from there: it asks about your family's situation, one question at a time, and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

The advice to talk openly, to keep papers in a safe and accessible place and to let a trusted person know where they are follows the Consumer Financial Protection Bureau. Starting from what a person owns and owes follows its guide for people managing someone else's money. The order is ours.

1. Consumer Financial Protection Bureau, Planning for diminished capacity and illness
2. Consumer Financial Protection Bureau, Managing someone else's money: Help for agents under a power of attorney